

Inflation, Monetary Policy & Banking

CPI/WPI, MPC, repo tools and banking basics — core every Prelims.

Portion focus ~48% · Topic: econ-basics

PYQ themes: Inflation indices · RBI/MPC · Monetary tools · Banking regulation

Why UPSC asks this

Macro price stability is policy-central and definition-rich for MCQs.

Inflation literacy

Distinguish CPI vs WPI coverage; headline vs core; demand-pull vs cost-push stories. Know why food/fuel volatility matters for Indian CPI.

Monetary policy

Inflation targeting framework; MPC composition idea; transmission via banks. Liquidity tools beyond repo. Financial inclusion and digital payments as adjacent banking themes.

Must remember

- CPI headline for inflation targeting (4% $\pm$ 2% flexible IT framework)
- Repo, reverse repo, CRR, SLR, OMO
- MPC decides policy rate